

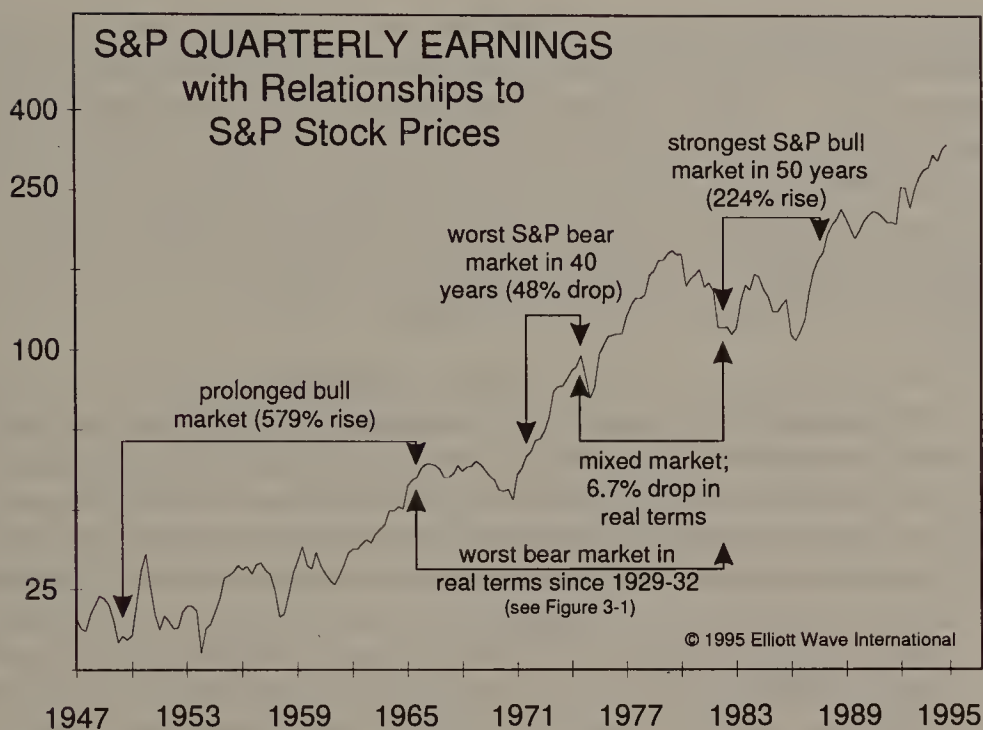


Figure 10-1

there is a positive one. This independence, along with the extreme movement in the measure, makes it a tenuous one for valuation purposes. Whatever the price/earnings ratio, one can never be sure whether its level is a function of the latest trend in earnings or the latest trend in stocks. The only reason the P/E ratio has any correlation to the market at all is that the numerator, P, is the market. The values for E gyrate so independently as to be almost arbitrary. A P/Price-of-Peanuts ratio would probably provide no less a stock market indicator. As a result, the P/E ratio has been as much a basis for rationalization (a process that will be discussed in the next chapter) as for analysis.

Perspective

From 1979 (the first year of publication) through 1984, *The Elliott Wave Theorist* argued continually that despite (in fact, because of) all worries, stock prices were cheap. More important, the Elliott Wave outlook prompted a forecast regarding the psychological indicators themselves: that the widespread worries of the day would turn into a record-breaking orgy of optimism. In early 1983, *The Elliott Wave Theorist* predicted that “The long term